

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC.; CONSOLIDATED CHASSIS
MANAGEMENT, LLC; CMA CGM S.A.; COSCO
SHIPPING LINES CO. LTD.; EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982;
HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK
A/S; MSC MEDITERRANEAN SHIPPING
COMPANY S.A.; OCEAN NETWORK EXPRESS
PTE. LTD.; WAN HAI LINES LTD.; YANG MING
MARINE TRANSPORT CORP.; AND
ZIM INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

**RESPONDENTS' REPLY TO COMPLAINANT'S RESPONSE
TO RESPONDENTS' MOTION TO DISMISS**

Wayne R. Rohde
Christopher Raleigh
Kathryn Sobotta
Cozen O'Connor
1200 19th Street N.W., Suite #300
Washington, D.C. 20036
(202) 463-2507

Gerald A. Morrissey III
Christopher Nolan
800 17th Street N.W., Suite 1100
Holland & Knight
Washington, D.C. 20006
(202) 469-5497

Deana E. Rose
Manelli Selter PLLC
1725 I Street NW, Suite 300
Washington, D.C. 20006
(202) 261-1016

Paul M. Keane
Cichanowicz Callan Keane & De May, LLP
50 Main Street, Suite 1045
White Plains, NY 10606
(212) 344-7042

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**RESPONDENTS' REPLY TO COMPLAINANT'S RESPONSE
TO RESPONDENTS' MOTION TO DISMISS**

Respondents hereby reply to Complainant's Response ("Response") to Respondents' Motion to Dismiss ("Motion") the complaint in the above-captioned proceeding (the "Complaint").

I. Introduction

Complainant Intermodal Motor Carrier Conference ("IMCC"), a subgroup of the American Trucking Associations, Inc. ("ATA"), an association of motor carriers, seeks to have the Federal Maritime Commission ("FMC" or "Commission") rule that certain alleged practices of ocean carriers relating to their contracts for intermodal chassis violate Section 41102(c) of the Shipping Act of 1984, as amended (the "Act"). Respondents moved to dismiss the Complaint on

the grounds that (i) the Commission lacks jurisdiction over the relationship between motor carriers and ocean carriers; (ii) the Complaint fails to state a claim for which relief may be granted; (iii) Complainant has not joined necessary parties without whom relief cannot be granted; (iv) the Complaint fails to allege sufficient facts to make Complainant's claim for relief plausible; and (v) the Complaint fails to state a claim as to OCEMA and CCM.

As explained in greater detail below, the Response fails to address Respondents' grounds for dismissal in a meaningful manner. With respect to jurisdiction, Complainant has failed to cite a single case which supports Commission jurisdiction over the relationship between motor carriers and ocean carriers. Complainant's Response attempts to create jurisdiction based on (i) the Commission's authority over the inland leg of through transportation (even though the Complaint is focused on activity that is not through transportation) and (ii) an unstated policy of the Act favoring terminal efficiency, cannot withstand serious scrutiny. Both arguments are logically flawed and devoid of any basis in the Act.

The Response's argument that it has stated a claim under Section 41102(c) is similarly without merit.

The Complainant's analysis of the application of Federal Rule of Civil Procedure ("FRCP") 19 and cases decided thereunder is misguided. The equipment providers are necessary parties without whom this case cannot proceed under the mandatory standards applicable to proceedings before the Commission under FRCP 19.

The Complaint also remains deficient under standards applicable to pleading. The Response fails to correctly apply the *Twombly/Iqbal* standards and, stripped of the Complaint's conclusory statements that are not entitled to a presumption of truth in the context of a motion to dismiss, the Complaint fails to make a plausible claim that the Act has been violated. The

Complaint also fails to state a plausible claim for relief in that the relief sought by the Complaint would have the Commission declare per se unlawful any chassis pooling arrangement other than a so-called gray pool (i.e., a pool with multiple contributors that is operated as a single fleet) which gives motor carriers the unfettered right to decide the terms of use for equipment they neither contributed nor own. The Complaint would also have the Commission require all ocean carriers to participate in such pools to the exclusion of all other arrangements throughout the United States, irrespective of who owns or contributes the chassis.

Finally, Complainant errs in arguing that OCEMA and CCM are subject to Section 41102(c). The express wording of the statute excludes such entities from the scope of that prohibited act.

For the foregoing reasons, which are explained in greater detail below, the Motion should be granted and the Complaint should be dismissed in its entirety as to all Respondents.

II. Complainant's Arguments On Jurisdiction Are Flawed

Both of the arguments Complainant advances as a basis for Commission jurisdiction lack merit and must be rejected.¹

A. Authority Over Through Transportation Is Not a Basis for Jurisdiction Over a Section 41102(c) Claim by an Association of Motor Carriers

As the Motion explained, the Commission has repeatedly held that it does not have jurisdiction over the relationship between ocean carriers and motor carriers. *Pro Transport, Inc., et al. v. Seaboard Marine of Florida, Inc. and Seaboard Marine Ltd., Inc.*, FMC Docket No. 16-12 (ALJ April 26, 2017), administratively final May 31, 2017 and *McKenna Trucking Company v. A.P. Moller-Maersk Line and Maersk Incorporated*, 27 S.R.R. 1343 (ALJ 1997),

¹ Complainant has the burden of establishing subject matter jurisdiction. See, e.g., *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., et al.* 2011 WL 7144008 at 26 (FMC Docket No. 09-01, August 1, 2011)(hereinafter, “Mitsui”)(Dye, Commissioner, concurring/dissenting).

administratively final, September 16, 1997. Complainant cannot and does not cite any cases to the contrary, but instead alleges that the Commission's jurisdiction over the inland leg of through transportation of cargo moving under carrier tariffs and service contracts, i.e., carrier haulage, provides the Commission with jurisdiction over the Complaint.

This argument disregards the fact that when cargo moves under merchant haulage (the only type of carriage at issue here), the ocean carrier's transportation obligations have ended and inland transportation is provided by the motor or rail carrier under its bill of lading. The Commission has no jurisdiction over the operation of the motor or rail carriers providing inland transport under merchant haulage.² Thus, what Complainant really seeks is for the Commission to inject itself into the relationship between the motor carrier and the equipment provider, something the Commission has never done. There is a wide gap between the Commission's jurisdiction over relations between ocean carriers and shippers and jurisdiction over the allegations in the Complaint, a gap Complainant fails to bridge.

The federal courts and the Commission have long held that the Shipping Act protects the shipping public, not motor carriers:

The 1984 Act lists in section 10 many "prohibited acts," all of which, to the extent they attempt to define the prohibited conduct, appear to relate to relationships either between regulated entities or between those entities and the shipping public. In fact, it is well established that the primary objective of the shipping laws administered by the Commission *is generally to protect the shipping industry's customers rather than members of the industry.*

Sea-Land Dominicana v. Sea-Land Service, Inc., 26 S.R.R. 578, 581 (FMC 1992)(emphasis added). Thus, while the Commission's jurisdiction includes all-water and through transportation, the exercise of that jurisdiction is limited to the protection of the shipping public and does not

² Merchant haulage is not through transportation, and the relief requested in this case relates solely to merchant haulage. See, Complaint, Prayer for Relief, paragraphs 3(a) through 3(e).

include the protection of motor carriers.³ If the Commission's jurisdiction over through transportation gives it jurisdiction over the Complaint, then the Commission will effectively be asserting jurisdiction over virtually any activity relating to a container moving in international transportation, even when that container is not moving in through transportation. For example, disputes between ocean carriers and/or marine terminals, on the one hand, and motor carriers, rail carriers, depots, warehouses, barge operators and/or chassis providers on the other.

Even if through transportation was involved here, just because the Commission has jurisdiction under the Act over through transportation provided to a shipper under an ocean carrier bill of lading does not mean that it has jurisdiction over what is fundamentally an inland transport activity by a motor carrier. The Complaint contemplates a dramatic expansion of the Commission's regulatory jurisdiction and an intervention into the supply chain that fundamentally transforms the Commission's statutory role.

B. Terminal Efficiency Is Not a Basis For Jurisdiction Over a Section 41102(c) Claim by an Association of Motor Carriers

Although maximum terminal efficiency may be a laudable surface transport policy objective, it does not provide a basis for FMC jurisdiction over the Complaint.

Relying heavily upon *American Export-Isbrandtsen Lines, Inc. v. Federal Maritime Commission*, 389 F.2d 962 (D.C. Cir. 1968) (“*Isbrandtsen I*”) and *American Export-Isbrandtsen Lines, Inc. v. Federal Maritime Commission*, 444 F.2d 824, 829 (D.C. Cir. 1970) (“*Isbrandtsen II*”), the Response argues that the Commission has jurisdiction over practices that impact on port and terminal efficiency. Response at p. 12. This argument puts the policy cart before the

³ See also, *Interpretative Rule, Shipping Act of 1984*, 83 Fed. Reg. 45367 at 45368, 45369 and 45372 (September 7, 2018) (section 41102(c) applies to activities that affect the broader shipping public and for purposes of Section 41102(c), practices means those imposed on the cargo interests).

jurisdictional horse. While the Commission can exercise its jurisdiction to further the goal of terminal efficiency, it cannot expand its jurisdiction to cover anything and everything that might potentially impact terminal efficiency for particular parties.⁴

The shortcomings of Complainant's Response in this regard are readily apparent. As an initial matter, contrary to the Response's representation that the Complaint alleges "port and terminal wastefulness," the Complaint does nothing of the sort. Paragraph 25 of the Complaint describes former practices, not current practices. Paragraph 41 of the Complaint claims OCEMA has recognized operational inefficiencies that result from the use of dedicated or single-provider chassis pools, but gives no indication these inefficiencies relate to terminals. Paragraphs 43 through 46 of the Complaint discuss chassis choice, and make no mention whatsoever of terminal efficiency. Similarly, paragraphs 53 and 54 make allegations about harm to motor carriers, and do not mention terminal inefficiencies.⁵

Even if the Complaint made allegations relating to terminal efficiency (which it does not), this would not be an independent basis for Commission jurisdiction. Many factors impact terminal efficiency: vessel size, cargo volume and mix, terminal equipment and operating systems, terminal labor productivity, labor agreements, on-dock rail connections (or lack thereof), road connections, available truck power, driver hours of service limitations, and more. The Commission does not have jurisdiction over any of the foregoing factors. Just because an activity impacts terminal efficiency does not mean the Commission has jurisdiction over it.

⁴ Moreover, what may be most efficient for a motor carrier may not be efficient or cost effective for a terminal, port, railroad, equipment provider, shipper, or ocean carrier.

⁵ The lack of factual allegations regarding terminal efficiencies in the Complaint cannot be remedied by citations to general, non-binding dicta about efficiency contained in interpretative rules or reports by private parties, such as the Memphis Supply Chain White Paper, which have no legally binding effect.

The two *Isbrandtsen* decisions on which Complainant relies are of no help to its argument. Both of those decisions dealt with a provision in a terminal tariff relating to terminal operator responsibility and liability for truck delays at marine terminals. The decisions focused on the authority of the Commission to require terminal operators to insert a provision in their tariffs accepting responsibility for truck delays caused by the terminal operator. In contrast, this case deals with alleged ocean carrier practices relating to chassis usage for inland carriage that are typically not contained (and not required to be contained) in ocean carrier tariffs. While the Court of Appeals may have cited the policy considerations favoring terminal efficiency in its decisions, nothing in those decisions supports the conclusion that the Commission has jurisdiction over a motor carrier complaint against ocean carriers focused on chassis usage based on terminal efficiency or any other consideration.

For the foregoing reasons and the reasons set forth in the Motion, the Commission lacks jurisdiction over the Complaint.

III. Complainant Fails to State a Claim Under Section 41102(c)

Complainant's argument that carrier haulage arrangements relate to delivery of property at inland locations and thus falls within the scope of Section 41102(c) overlooks applicable precedent and is logically flawed.

It is well-established that Section 41102(c) does not apply to the transportation of property. See, e.g., *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419 (ALJ 1962) (claims for loss of or damage to cargo or for damages due to failure to follow routing instructions do not fall within the Act, citing *Pilgrim Furniture Co., Inc. v. American-Hawaiian Steamship Co.*, 2 U.S.M.C. 517 (1941)); *Bills of Lading – Incorporation of Freight Charges*, 3 U.S.M.C. 111, 113 (USMC 1949)(section 17, second paragraph, is confined to the receiving, handling,

storing, or delivering of property, to the exclusion of transportation). Ignoring this precedent, Complainant seizes on the word “delivery” in Section 41102(c) and proclaims that it has a claim because chassis are used in the delivery of cargo to inland locations.

However, the history and context of Section 41102(c) make clear that “delivery” of a container to an inland location is a transportation activity that falls outside the scope of Section 41102(c), in contrast to “delivery” as a component of terminal and forwarding activities.⁶

Motion at pp. 11-14.⁷

Contrary to Complainant’s assertion (Response, p. 16), Congress did not overrule case law limiting what is now Section 41102(c) to terminal and forwarding services when it passed the Act.⁸ The case cited in support of this assertion, *Mitsui*, says nothing whatsoever about overruling pre-1984 precedent (and in any event relates primarily to Section 10(a)(1) of the Act, now 41104(1), rather than Section 41102(c)).⁹

A better understanding of the application of Section 41102(c) is afforded by the principle that when Congress enacts a new statute incorporating sections of an earlier one, it is presumed to have had knowledge of the interpretation given to the incorporated law. *Lorillard v. Pons*, 434 U.S. 575, 581 (1978). This is particularly true when Congress conducted a comprehensive review of the prior statute, and changed those aspects deemed undesirable (*Id.* at 582), which is what happened when the Act was adopted. In other words, because Congress conducted a

⁶ When an import container is moving on a port-port basis, the ocean carrier has “delivered” the container when it is placed on a pier accessible to the consignee and the consignee has a reasonable opportunity to retrieve it. *American President Lines, Ltd. v. Federal Maritime Board*, 317 F.2d 887, 888 (D.C. Cir 1962).

⁷ See also, *Isbrandtsen II*, 444 F.2d 824, 829 (D.C. Cir. 1970)(Congress, in the Shipping Act, 1916, authorized Federal Maritime Commission to promulgate and enforce just and reasonable regulations and practices related to or connected with the receiving, handling, storing, or delivering of property at harbor terminal facilities)(emphasis added).

⁸ See, e.g., H. Rep. 53, Part 1, 98th Cong., 1st Sess. at p. 13 (pre-existing agreement between ICC and FMC with regard to intermodal movements permitting conferences to set a single through rate was incorporated into the Act).

⁹ *Mitsui* also involved through transportation rather than merchant haulage.

thorough review of the Shipping Act, 1916 when replacing it with the Act, and incorporated Section 17 of the Shipping Act, 1916 almost verbatim into Section 10(d)(1) of the Act, it reaffirmed rather than overruled the interpretation of that statutory provision which limited its application to terminal and forwarding matters.

Moreover, as a purely logical matter, many things “relate to” delivery of property at an inland location – such as use of a railroad by the ocean carrier for a portion of the inland transportation. The mere fact that something “relates to” delivery at an inland location does not mean the Commission has jurisdiction over an alleged violation of Section 41102(c) based on that relation. Again, Complainants are seeking a major expansion of Commission regulatory jurisdiction although there is not a shred of evidence this was the intent of Congress.

Finally, Complainant’s reliance on *Distribution Services, Ltd. v. Trans-Pacific Freight Conference of Japan and Its Member Lines*, 24 S.R.R. 714 (FMC 1988) is misplaced. First, the complaint in that case was brought by a shipper, not a motor carrier. Second, the Response claims that in the *Distribution Services* decision, the Commission considered that parties potentially injured by the rule included those regulated by the ICC. Response at p. 17. However, what the Response quotes at p. 17 is a summary of the tariff rule at issue in that case, not a statement of jurisdiction by the FMC. Also, this summary appears in a section of the decision dealing with alleged violations of statutory provisions other than what is now Section 41102(c). Simply put, nothing in *Distribution Services* supports a conclusion that a motor carrier association can bring a claim under Section 41102(c) with respect to the terms of chassis usage.¹⁰

¹⁰ Complainant also errs in applying the “fit and appropriate to the end in view” test of *Distribution Services*. Complainant adopts its own subjective desire for gray pools featuring interoperability and chassis choice as the “end in view.” Having done so, it not surprisingly concludes that there is a violation of the Act. There are two problems with Complainant’s analysis. First, one must use the actual, objective end in view rather than Complainant’s subjective end in view when applying the *Distribution Services* test. Second, an allegation that the status quo is not “fit and appropriate” to Complainant’s desired goal does not and cannot overcome the lack of jurisdiction described in the Motion and this Reply.

IV. FRCP 19 Requires Dismissal of This Proceeding

Complainant asserts that the equipment providers are not indispensable parties; yet, ironically, Complainant refers to the equipment providers more than forty times in the Complaint. See, e.g., Complaint, ¶¶ 52 and 78. Significantly, the numerous references in the Complaint to the equipment providers relate to their respective contracts with individual Respondents. Yet, inexplicably, Complainant asserts that the Commission could nevertheless grant the relief which the Complainant seeks with an order directed solely at Respondents. This blithe suggestion overlooks the cases cited by Respondents which held that, when the relief sought will affect Respondents' performance of contracts - and potentially cause them to breach those contract with the equipment providers - then the latter are indispensable parties which must be named in the proceeding. See, *All Marine Moorings, Inc. v. ITO Corp. of Baltimore*, 26 S.R.R. 1396, 1397 (ALJ 1994); *Dawavendewa v. Salt River Project Agric. Improvement and Power Dist.*, 276 F.3d 1150, 1156 (9th Cir. 2002)¹¹; *Crouse-Hinds Co. v. InterNorth, Inc.*, 634 F.2d 690, 700-701 (2nd Cir. 1980); *Natural Resources Defense Council v. Kempthorne*, 539 F.Supp.2d 1155, 1185 (E.D. Cal. 2013); *Camacho v. Major League Baseball*, 297 F.R.D. 457, 461-62 (S.D. Cal. 2013).

Complainant's reliance on "*50 Mile Container Rules*" *Implementation by Ocean Common Carriers Serving U.S. Atlantic and Gulf Coast Ports*, Dkt. No. 81-11, 1987 WL 209053 (August 3, 1987) in support of a contrary conclusion is completely misplaced. The "*50 Mile Container Rules*" proceeding followed years of litigation in which the contractual counter-party to the ocean carriers, the International Longshoremen's Association ("ILA"), was a party to a

¹¹ Complainant's attempt to distinguish *Dawavendewa* and other cases cited in the Motion as involving rights arising under contracts is also misguided. For example, the complaint in *Dawavendewa* was brought under a federal law, the Civil Rights Act of 1964.

lawsuit in which the ILA responded to legal challenges to the “50 Mile Rule.” During the course of this litigation, the issue was ruled upon by the United States Supreme Court in two separate decisions, *National Labor Relations Board v. International Longshoremen’s Association, AFL-CIO, et al.* 447 U.S. 490 (1980) (“*ILA I*”) and *National Labor Relations Board v. International Longshoremen’s Association, AFL-CIO, et al.* 473 U.S. 61 (1985) (“*ILA II*”).

Given the rulings in *ILA I* and *ILA II*, there was no need to treat the ILA as an indispensable party in the “50 Mile Container Rules” proceeding because the ILA was already bound by the Supreme Court rulings. That is not the case in this proceeding, as there has been no litigation or other legal proceeding to which the equipment providers are parties or, more importantly, the issuance of a ruling to which they are bound. If an ocean carrier unilaterally breaks a contract with an equipment provider it will be liable for breach of contract, potentially in the many millions of dollars.

Complainant’s assertion that it “only” seeks a “cease and desist” order in this proceeding, and not monetary damages, is also unsound. The “cease and desist” relief sought by Complainant, if granted in this proceeding, will require those Respondents with offending provisions to breach their contractual obligations under contracts with the equipment provider counter-parties. This is precisely the risk which is contemplated by the Federal Rules, and which Rule 19 is intended to prevent, i.e., “leave an existing party subject to a substantial risk of incurring... inconsistent obligations...”

In a further attempt to put a gloss on a very rusty car, Complainant suggests that the equipment providers are free to “intervene” at the remedy phase. This argument is inapposite for two reasons. First, it erroneously assumes that the equipment providers would voluntarily participate in this proceeding. It is naïve to think this, given that if a ruling adverse to

Respondents forces some or all of them to breach their respective contractual obligations to the equipment providers, the latter are more likely to seek monetary damages for breach of those contracts in civil courts than to intervene at the FMC.

Second, Complainant appears to claim that Respondents have invoked Rule 19 in order to protect the equipment providers. That is not the purpose of Rule 19, which is intended to protect the Respondents from “double, multiple, or otherwise inconsistent obligations...” Rule 19(1)(a)(i). Proceeding with this case would subject Respondents to “inconsistent” exposures, if the equipment providers are not parties. In their absence, Rule 19 mandates that the Complaint be dismissed.¹²

Finally, the suggestion that Respondents would not suffer prejudice because they can serve subpoenas “on non-parties” (presumably, the equipment providers), is meritless. Respondents’ invocation of Rule 19 is not premised upon the unavailability of discovery – it is based upon the potential harm that would flow from a ruling that would subject Respondents to inconsistent obligations: compliance with the Commission’s ruling, and breach their contracts with the equipment providers, or adhering to the contracts and defying the Commission’s ruling.

Rule 19 requires dismissal in the absence of the equipment providers from this proceeding.

V. The Complaint Fails To Allege Sufficient Facts To Be Plausible

Complainant’s attempt to address the Motion’s claim that the Complaint does not meet the level of factual pleading necessary to survive a motion to dismiss by substituting a quantity of conclusory allegations for quality factual allegations is of no avail.

¹² In the absence of a specific Commission rule, application of the FRCP is mandatory. *Mitsui* at 35 (Khoury, Commissioner, concurring/dissenting).

As an initial matter, Complainant omits the first part of the analysis required under *Bell Atlantic Corporation v. Twombly*, 550 U.S. 544 (2007) and *Ashcroft v. Iqbal*, 556 U.S. 662 (2009). Under these cases, the court must "identify[] the allegations in the complaint that are not entitled to the assumption of truth." *Iqbal* at 679. That is, the court must separate pleadings of fact from conclusions and reject the conclusory statements. Next, the court must evaluate the factual assertions to determine whether "they plausibly suggest an entitlement to relief." *Id.* at 681. But here, Complainant cannot assume the plausibility of entitlement to relief on the basis of its speculative theories that the chassis industry is virtually per se unreasonable. *Port Elizabeth Terminal & Warehouse Corp. v. PANYNJ*, 1 F.M.C.2d, 32 (Docket No. 17-07, April 17, 2018, citing *CIBA Vision Corp. v. De Spirito*, 2010 U.S. Dist. Lexis 11386, at *22-23 (N.D. Ga. 2010))("What *Twombly* and *Iqbal* teach is that where there are other plausible explanations, it is not sufficient to speculate in a complaint and particularly to base that speculation on no facts at all.").

Because Complainant omits the first two steps of the *Twombly/Iqbal* analysis, its Response does nothing to address Respondents' arguments. The Motion sets forth in detail how the Complaint falls short of alleging sufficient facts to support an entitlement to relief once the conclusory statements are removed from consideration. Complainant's response is to summarize and characterize large portions of the Complaint (paragraphs 1-3 and 31-69) at pages 20-21 of the Response and declare the standards met.

However, the Motion explains how the misnamed "Factual Allegations" in the Complaint (paragraphs 31-42) contain no facts at all (Motion at pp. 20-22) and how many of the other paragraphs of the Complaint summarized in the Response are similarly deficient. Either the Complaint is sufficient or, as Respondents maintain, it is not. But simply summarizing the

provisions of the Complaint that have been attacked and declaring them sufficient does not make them so. Further, any attempt by Complainants to embellish the record by inserting facts in the Response which do not appear in the Complaint should be rejected. "...we may consider only those facts alleged in the complaint, any documents either attached to or incorporated in the complaint and matters of which we may take judicial notice."¹³

Importantly, it is not merely Complainant's inadequate assertion of facts in support of the alleged violation that is not plausible – its claim for entitlement to relief is also implausible. In this regard, the relief sought by Complainant would have the Commission declare any chassis arrangement other than a gray pool with interoperability and chassis choice for motor carriers per se unlawful. This would place the Commission in the extraordinary position of requiring that all ocean carriers and equipment providers participate in such pools to the exclusion of all other chassis arrangements. Such relief is simply not plausible under the Act.¹⁴

VI. OCEMA And CCM Are Not Subject to Section 41102(c)

Section 41102(c), on its face, does not apply to entities that are not ocean common carriers, marine terminal operators, or ocean transportation intermediaries. Motion at pp. 23-24. Complainant argues that Section 41102(c) has been applied to conferences of ocean common carriers, citing *Distribution Services* (and other cases). Even assuming arguendo that those cases were correctly decided (which does not appear to be the case given the language of the statute), Complainant's argument must still fail for the simple reason that OCEMA and CCM are not considered conferences by the Commission. See,

¹³ *E.E.O.C. v. St. Francis Xavier Parochial School*, 117 F.3d 621, 624 (D.C. Cir. 1997). "Assessment of the facial sufficiency of the complaint must ordinarily be undertaken without resort to matters outside the pleadings." *Gavitt v. Born*, 835 F.3d 623, 640 (6th Cir. 2016) (citation omitted).

¹⁴ The authority the Commission had to prescribe just and reasonable practices under the Shipping Act, 1916, was removed when the Shipping Act, 1916 was replaced by the Act.

<https://www2.fmc.gov/FMC.Agreements.Web/Public?Sort=TimeSinceFiled%2Cdesc&AgreementTypeIdFilter=4&CargoTypeIdFilter=>. Because these two Respondents are not ocean common carriers (or conferences thereof), they are not subject to Section 41102(c).¹⁵

VII. Conclusion

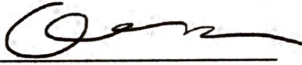
For the foregoing reasons, the Complaint must be dismissed in its entirety as to all Respondents.

Respectfully submitted,

COZEN O'CONNOR

HOLLAND & KNIGHT

By: 

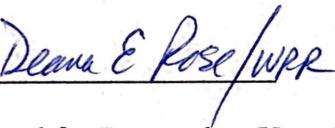
By: 

Counsel for Respondents¹⁶
Wayne R. Rohde
Christopher Raleigh
Kathryn Sobotta
1200 19th Street N.W., Suite #300
Washington, D.C. 20036
(202) 463-2507

Counsel for Respondent Hapag-Lloyd AG
Gerald A. Morrissey III
Christopher Nolan
800 17th Street N.W., Suite 1100
Washington, D.C. 20006
(202) 469-5497

MANELLI SELTER PLLC

CICHANOWICZ CALLAN KEANE
& DE MAY, LLP

By: 

By: _____

Counsel for Respondent Yang Ming
Marine Transport Corporation
Deana E. Rose
1725 I Street NW, Suite 300
Washington, D.C. 20006
(202) 261-1016

Co-Counsel for Evergreen Line Joint
Service Agreement, FMC No. 011982
Paul M. Keane
50 Main Street, Suite 1045
White Plains, NY 10606
(212) 344-7042

October 13, 2020

¹⁵ See *Mitsui* at 40 (Khouri, Commissioner, concurring/dissenting).

¹⁶ Other than Hapag-Lloyd AG and Yang Ming Marine Transport Corporation, and as co-counsel for Evergreen Line Joint Service Agreement.

[ntTypeIdFilter=4&CargoTypeIdFilter=](#). Because these two Respondents are not ocean common carriers (or conferences thereof), they are not subject to Section 41102(c).¹⁵

VII. Conclusion

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HOLLAND & KNIGHT

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Counsel for Respondents¹⁶
Wayne R. Rohde
Christopher Raleigh
Kathryn Sobotta
1200 19th Street N.W., Suite #300
Washington, D.C. 20036
(202) 463-2507

Counsel for Respondent Hapag-Lloyd AG
Gerald A. Morrissey III
Christopher Nolan
800 17th Street N.W., Suite 1100
Washington, D.C. 20006
(202) 469-5497

MANELLI SELTER PLLC

CICHANOWICZ CALLAN KEANE
& DE MAY, LLP

By: _____

By: Paul M. Keane

Counsel for Respondent Yang Ming
Marine Transport Corporation
Deana E. Rose
1725 I Street NW, Suite 300
Washington, D.C. 20006
(202) 261-1016

Co-Counsel for Evergreen Line Joint
Service Agreement, FMC No. 011982
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50 Main Street, Suite 1045
White Plains, NY 10606
(212) 344-7042

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¹⁵ See *Mitsui* at 40 (Khouri, Commissioner, concurring/dissenting).

¹⁶ Other than Hapag-Lloyd AG and Yang Ming Marine Transport Corporation, and as co-counsel for Evergreen Line Joint Service Agreement.

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 13th day of October, 2020, a true and correct copy of the foregoing Reply to Complainant's Response to Respondents' Motion to Dismiss was served via electronic mail on:

W. Stephen Cannon, Esq. (scannon@constantinecannon.com)
David D. Golden, Esq. (dgolden@constantinecannon.com)
Richard O. Levine, Esq. (rlevine@constantinecannon.com)
Seth D. Greenstein, Esq. (sgreenstein@constantinecannon.com)
Osob M. Samantar, Esq. (osamantar@constantinecannon.com)
Justin Wyatt Fore, Esq. (wfore@constantinecannon.com)
Richard Pianka, Esq. (rpianka@trucking.org)
Counsel for Complainant Intermodal Motor Carriers Conference of the American
Trucking Associations, Inc.

Deana Rose, Esq. (drose@mdslaw.com)
Counsel for Respondent Yang Ming Marine Transport Corporation

Paul Keane, Esq. (pkeane@cckd-ny.com)
Joseph DeMay, Esq. (jdemay@cckd-ny.com)
Co-Counsel for Respondent Evergreen Line Joint Service Agreement, FMC No. 011982

Gerald Morrissey III (Gerald.Morrissey@hklaw.com)
Chris Nolan (chris.nolan@hklaw.com)
Counsel for Respondent Hapag-Lloyd AG

A handwritten signature in black ink, appearing to read "Wayne R. Rohde". The signature is stylized with a large, sweeping 'W' and a cursive 'Rohde'.

Wayne R. Rohde